

Positional and needs-based bargaining

Day 2 · Session 3 | Both sectors | Shared resource

Neither approach in this reference is the "right" one. The judgement this workshop is building is which approach — or which combination — fits the issue, the mandate, the relationship and the scope for trade-offs in front of you.

Two Approaches, Compared

Positional Bargaining	Needs-Based (Mutual-Gains) Bargaining
- States and defends a specific position - Moves through concessions from that position - Success = how little was conceded - Treats the negotiation as a fixed pie	- Explores the interests behind each position - Moves by generating options that satisfy interests - Success = how well real interests were met, both sides - Treats the negotiation as a problem to solve jointly

Advantages and Limitations, Side by Side

Positional — Advantages	Positional — Limitations
- Fast — no discovery phase, no need to build trust first - Simple to explain to whoever you answer to afterward - Needs very little trust to function at all - Holds a genuinely fixed constraint firmly and defensibly	- Risks a relationship that has to continue - Invites posturing, which teaches both sides that concealment works - Can miss real value that was on the table - Scales badly once more than two parties are involved
Needs-Based — Advantages	Needs-Based — Limitations
- Tends to find value that positional bargaining misses - Fits a relationship that continues beyond this agreement - Can support implementation when terms, authority and follow-up are clear - Can grow the total on the table, not just divide it	- Slower — requires real exploration before movement - Needs a degree of trust you cannot simply declare - Exploitable by a purely positional counterpart - A fixed mandate may prevent a deal on an issue; interests and lawful alternatives can still be explored

When the Room to Manoeuvre Is Genuinely Small

A fixed budget line, a legal ceiling, or a mandate with no discretion is a genuine limit, not an excuse invented on the spot. Negotiating a distributive issue firmly, inside a tight mandate, is not a failure of skill — it may be the correct read of the situation. Naming the constraint honestly to the other side is good practice, not a concession. Most real negotiations mix the two approaches: firm and distributive on issues with no trade-off, exploratory where one genuinely exists.

A Decision Aid: Which Approach Fits?

Read this issue by issue, not once for a whole negotiation — most real negotiations contain issues that land in different columns at the same time.

Factor	Leans positional	Leans needs-based or a combination
The issue	One number, essentially indivisible	Multiple issues, or interests beyond the number
The mandate	Fixed, narrow, little discretion to trade off	Some real discretion to trade across priorities
The relationship	One-off; little need to work together again	Ongoing; you negotiate with them again next year
Scope for trade-offs	None — a genuinely fixed constraint applies	Real — different priorities, timing or risk to trade

Outcomes in Negotiation: Scenarios A-E

Whichever approach produced it, every negotiation lands somewhere on this spectrum. The letters describe what happened — they do not grade which approach was used to get there.

Scenario	Detail
A — Win-lose	One side achieves its objectives fully; the other achieves essentially none of its own
B — Lose-win	The mirror image of A, from the other side's perspective — remembered very differently
C — Lose-lose	Both sides are worse off relative to their available alternatives. No agreement alone does not establish a lose-lose outcome
D — Compromise	Both sides get partial satisfaction, typically by splitting the difference — often the right call under a tight mandate or real time pressure
E — Win-win	Both sides' underlying interests are substantially met — reachable only where real scope for it existed

Compromise and win-win are not the same thing — but a compromise is not automatically a missed win-win either. Before judging a Scenario D, check whether more scope for trade-offs genuinely existed and went unused.

Five Short Cases — All Fictional and Deliberately Ordinary

Case 1 — The Shift-Rota Disagreement

Riverside Clinic's nursing staff wanted the new night-shift rota reversed, arguing it disrupted childcare arrangements built up over two years. Management held firm, citing a fixed staffing formula, and after one meeting announced the rota would stand unchanged, with a brief note thanking staff for their patience. Nobody asked why the childcare arrangements mattered, or whether the formula had any flexibility at all.

Case 2 — The Training-Budget Dispute

Two departments shared one annual training budget. After a short, tense meeting, they agreed a fifty-fifty split, on paper ending the dispute. Three months later, the smaller department's allocation had already been spent on a single urgent course, and the larger department quietly began routing its own spending around the agreed split, arguing the original meeting "hadn't really settled anything."

Case 3 — The Parking Allocation

A campus had sixty parking permits and eighty staff who wanted one. Both sides argued hard, then agreed a lottery, redrawn each semester, sharing access evenly over time. Some staff grumbled that a "proper" negotiation should have found something cleverer. In fact, every space was identical, every driver's need was identical, and there was nothing else on the table to trade — the lottery was the correct answer, not a consolation prize.

Case 4 — The Rescheduled Meeting

A monthly cross-department meeting kept being rescheduled at short notice, and one department's representatives said they would simply stop attending. Rather than arguing about the schedule itself, the chair asked why the short notice mattered so much. It turned out the representatives needed to arrange transport in advance. The group agreed a fixed date each month, with any necessary changes announced two weeks ahead — solving the transport problem without giving up the flexibility to occasionally adjust content.

Case 5 — The Equipment Order

A department asked for a second diagnostic machine, arguing waiting times were unacceptable. Finance explained plainly that the capital budget for the year was already fully committed to a separate, previously agreed project, and there was no discretion to reallocate it. The department did not get the machine this year, but did get a written commitment to prioritise the request in next year's capital planning round.

Your Analysis

Case	Letter (A-E) · approach used · was there more scope than was used?
1. The Shift-Rota Disagreement	
2. The Training-Budget Dispute	
3. The Parking Allocation	

Case	Letter (A-E) · approach used · was there more scope than was used?
4. The Rescheduled Meeting	
5. The Equipment Order	
